MG201 Operations Management

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"Operations management is a key role in a variety of industries, as its focus is on optimizing resources to create the most value possible".

Introduction

Operations management is the key to success in every type of industry, whether it be in the primary, secondary, or tertiary sectors. Its responsibility is to ensure that a business achieves peak efficiency and quality across all areas, while also prioritising getting the best value. The presence of a skilled operations management team is key to a business' success, as it not only controls the business' current state, but also leads a business to having a promising future.

In this essay I will cover why operations management is significant in a variety of industries and the roles it plays in areas such as cost management, HRM (Human Resource Management), productivity and, its overall impact on efficiency and quality.

Manufacturing Industry

In manufacturing industries operations management plays an important role in all aspects of production activities, from purchases made to the distribution of their goods. Its main objectives revolve around the maintenance and improvement of a business' cost and time efficiency. Efficiency in these areas go hand in hand and processes must be adapted and innovated to increase profitability. Key to achieving these goals is the correct implementation of appropriate processes and technologies.

A way in which many businesses implement operations management is in the form of lean production. Companies try to achieve minimal waste levels through repurposing waste materials and constantly implementing processes that would combat waste production. The use of lean production not only leads to cost savings but also leads to more efficient and economical practises by the company. Everything that does not add value to the end product is considered as waste according to the principles of lean production (Åhlström, 1998). A continuous flow to production must be made in order to reduce the amount of inventory (materials and partially completed products) and to maximise the business' efficiency.

In operation management tasks such as monitoring their client's satisfaction on a regular basis, may enable them to learn of any possible improvements that can be made. They must constantly look at ways to increase profitability.

Operations management allows a business to control its inputs and outputs indefinitely. It enables businesses to maximise their production and minimise their resource consumption.

Supply Chain Industries

In supply chain management, a crucial emphasis must be placed on the importance of operations management as it controls the efficiency of the flow of materials, goods, and information. The efficiency of the flow will determine the ability to control inventory levels, the ability to correctly

forecast customer demand and the ability to combat risk effectively. Its main targets are to minimise costs at every stage of the flow and to increase the overall performance of the business.

JIT (Just in Time) processes are a great way for a business to maintain their inventory levels, as they only bring in what they need when they need it. Inventory and risk management must be used simultaneously to ensure that the business never suffers from insufficient stock when demand increases. JIT processes reduce inventory storage costs and maintain an uninterrupted supply chain. (Handfield, 1993)

Operations management also considers various external factors such as economic trends, events and natural disasters when forecasting their demand. This is vital to allow a business to navigate any potential issues it can face.

Service Industry

Operations management plays the role of ensuring that service is continuously efficient and effective in the service industry. It strives to make tasks easier to carry out, make wait times shorter, and cutting out any customer dissatisfaction. It develops all these topics to meet and exceed customer expectations.

By consistently meeting and exceeding customer expectations, businesses encourage strong customer loyalty and satisfaction. This increases profitability and allows the business to have a successful future.

Operations management is also vital when it comes to HRM (Human Resource Management) in the services industry as, having a correctly sized and qualified workforce is crucial to a business' success in this industry. There must be adequate on and off the job training provided to all staff members to ensure that they have the appropriate expertise to work in their desired role (Roth and Menor, 2003). Similarly, to operations management within supply chain management, identifying times of high and low demand is crucial as the business must have the correct number of staff to fulfil all their customers' needs.

In operations management it is also ensured that that standards are maintained through various surveys, audits, and other feedback opportunities. When standards are not being met, action is needed to be taken in the form of increased training and the implementation of new processes to tackle dissatisfaction and the ever-changing needs of customers.

Healthcare Industry

Healthcare systems require expertly run processes in every aspect of the service they provide. Flaws that are not acted upon and fixed can lead to spread of disease and even death. The operations management teams in healthcare units all around the world are always under vast amount of pressure to ensure that patient safety, regulations compliance and minimisation of costs are all fulfilled.

Operations management is responsible in ensuring that beds and medical equipment, such as ventilators, are always available. Patient admissions and discharges must be kept track off and, just like we have seen in supply chain management, a constant flow must be kept to maximise efficiency. Another key aspect of this is to also ensure that there is always adequate numbers of qualified staff on site at all times.

In the healthcare industry a particular emphasis must be placed on the quality and availability of patient care. A record of everything must be kept to be able to give patients the quality care they

need, this can be in even the simplest of things such as patient names and admitting patients to the correct sectors of a hospital. Constant monitorisation of admission levels must also be kept in order to guarantee that overcrowding won't be a problem. Like any other industry, the healthcare one also meets times of peak demand, this can be during certain times of year (Halloween, Christmas) or during emergencies (Earthquakes, Flooding). The operations management team must make sure that these healthcare institutions are always prepared to give quality aid in the scenario of a sudden influx of patients.

During the Covid-19 pandemic the healthcare system was put under immense pressure. Innovative ways to increase the number of beds, equipment and trained staff was needed. The responses to this emergency ranged from transforming parking garages and gyms into care facilities to the building of temporary facilities (e.g. Hubei Province in China) to asking for retired medical professionals to return for help in treating COVID-19 patients (Patrinley et al., 2020).

The ability to successfully integrate new technological innovations into the healthcare system is also a role that operations management must take on. Adaptation is the key to success, but it must be done in a logical manner. Innovations such as Artificial Intelligence and various new equipment must be slowly integrated into the healthcare system in order to increase its efficiency and effectiveness.

Conclusion

In conclusion, operations management undoubtedly is an extremely important, if not the most important, role in various industries. It controls all aspects of the industry's efficiency, profitability, and overall success. This role also has a principal aim of optimising resources to create the most value possible is one that all industries need. The combination of research and action on these areas allow businesses to make their way through challenging times.

Operations management allows businesses to increase their efficiency and effectiveness through thorough preparation and planning. The use of new processes, technologies, effective control of inventory and staff levels are all major reasons as to why operations management will always be key to a variety of businesses.

By using risk management and lean production throughout a supply chain in a business, the importance of having the ability to be able to combat difficulties such as change in markets, growing waste levels, careful implementation of AI and customer dissatisfaction becomes apparent.

Whether it be the manufacturing, healthcare or service industry, all businesses share an immense importance in having a solid business plan. Without operations management many companies would fail as they would not be able to cope with increased demand and other competitors that do innovate on a regular basis. The main objective of creating the most value imaginable would also not be possible without operations management.

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